Read me file for "Selection, Agriculture, and Cross-Country Productivity Differences" by David Lagakos and Michael E. Waugh

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Data File

- The file **caselli_data.xls** contains the data from Caselli (2005) article.
- **Reproducing the empirical moments used in the calibration:** The program lw_cps.do takes the raw CPS micro data from every year from 1996 to 2010 and computes the moments used in the paper's calibration. The only thing the user must edit in the code is the path locating the raw data files.
    1. Download the raw CPS march data from 1996 to 2010 from the CEPR website: here
    2. Save the files in STATA format (.dta)
    3. Run the STATA program lw_cps.do

Code File

Overview: All programs are written in MATLAB. Each subfolder within the Code File either is associated with the calibration of the model or the results in a specific section of the paper. Below we provide a description of the contents within each folder.

- **Calibrate Distribution:** These files perform the calibration of the distribution parameters of the model described in Section 4 of the paper. The main driver file is run_calibrate_new.m.
- **Section 4 Results:** These files reproduce the results in Section 4. The main driver file is run_cal_9010.m which will generate the results in Table 2 and Table 3 of the paper. Also in this file is run_figs_cross_country.m. This file produces Figures 1-5 in the paper. The data associated with Figures 1-5 is in the file Figures1_5.
- **Calibrate Correlation Table:** These files performs the calibration of the model under an assumed correlation parameter. The main driver file is run_calibrate_corr.m. The calibrated parameters are then used to generate the results in Table 4.
- **Correlation Table Results:** These files reproduce the results in Table 4 with different calibrations of the correlation parameter. Each file generates the results for a specific correlation parameter. For example, run_corr_20.m produces the results for the calibration with correlation equal to 0.20.

- **Section 5 Results:** These files reproduce the results in Section 5, Table 5 and Table 6. The preambles of each file describe what each file does.
- **Section 6 Results:** These files reproduce the results in Section 6 and Table 7. The main driver file is capital_calibration9010.m. Within the preamble of this file, it describes how to reproduce the results with the effects of selection and land shut down.